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A \$38M Power Center Refi Shows Retail Debt Is Available

For the right sponsor and basis, retail financing is still flowing. Here's what this Phoenix deal tells us about today's lending environment.

Gantry Secures \$38M Permanent Loan for Mesa Grand Power Center

The refinancing of a 203,000 SF power center in Phoenix included:

- * Full-term interest-only payments
- * Cash-out proceeds to the sponsor
- * An institutional balance sheet lender

The deal closed in June 2026.

SIGNIFICANCE

Why This Deal Matters Beyond Phoenix

Retail has been written off by many lenders. This transaction proves that well-located, well-tenanted power centers still attract institutional capital.

The key: strong sponsorship and realistic basis.

Full-Term IO and Cash-Out? That's a Statement

Most retail loans today require amortization and limit proceeds.

This deal includes:

- * Full-term interest-only (rare for retail)
- * Cash-out proceeds (signals lender confidence)
- * Balance sheet lender (not CMBS or debt fund)

A useful way to think about this is: the lender saw enough margin of safety to offer terms usually reserved for multifamily or industrial.

THE REAL QUESTION

What Made This Deal Work When Others Don't?

Three factors aligned:

1. Sponsor track record with the asset
2. Basis that gave the lender a cushion
3. Phoenix market fundamentals supporting retail

In situations like this, the sponsor's history and the asset's cost basis matter more than the property type.

WHO CARES?

Three Groups Watching This Closely

- * Sponsors with retail assets: There is a path to refinancing, but it requires the right lender relationship and equity position.

- * Lenders: Balance sheet players are selectively active. They're underwriting sponsorship and basis, not just property type.

- * Buyers: Cash-out refis signal that sellers may have more flexibility on pricing.

MARKET CONTEXT

Retail Debt Is Bifurcating, Not Disappearing

The simple version is: well-located, well-operated retail with strong sponsorship is getting financed.

Struggling malls and secondary locations are not.

This deal is part of a broader pattern where capital flows to quality, not to property type labels.

What to Watch in Retail Debt Markets

- * Loan-to-cost ratios: Are lenders still offering 65-70% LTC?
- * Interest-only availability: Will full-term IO become more common for retail?
- * Balance sheet vs. CMBS: Which lender type is leading retail?

What we're watching is whether this deal becomes a template or an outlier.

THE LESSON

Capital Follows Quality, Not Labels

Retail isn't dead. It's just more selective.

The right sponsor with the right basis and the right lender relationship can still get done what others can't.

Light Tower Group helps sponsors and investors navigate these capital markets questions. Connect with Benjamin Rohr for capital strategy and placement.